

THE INITIAL PUSH

Here is how GIFT-City in Gujarat measures up to Dublin, a popular global aircraft leasing hub

Particulars	GIFT-City, Gujarat	Dublin, Ireland
Corporate tax	100 per cent exemption for 10 years	12.5 per cent (group loss relief transfers available)
Tax depreciation allowance	40 per cent at written-down value	Depreciation allowed over 8 years
Interest expense (aircraft loan and inter-company funding)	Deductible on arm's length payments	Deductible on arm's length payments
Withholding tax on lease	Indian entity to IFSC lessor: Nil; IFSC lessee to foreign entity: Nil	Nil
Taxable base	Gross rentals less deductible expenses, including depreciation allowance	Gross rentals less deductible expenses, including depreciation allowance
GST on lease rental payments	5 per cent (forward charge)	5 per cent
Disposal of aircraft	Capital gains on disposal of aircraft eligible for 100 per cent deduction, provided the IFSC unit has commenced operations on or before March 31, 2024	Taxable as business income to the extent of the original cost claimed as tax depreciation. Any gain in excess of this amount may be taxed as trading profits at 12.5 per cent depending on facts; 33 per cent capital gains tax applicable in certain circumstances
Stamp duty	Nil	Nil

SOURCE INDUSTRY, BT RESEARCH

Fund (AIF), Category-II, but then where is that equity support?” asks Tomar. Ajay Kumar, Managing Partner at law firm KLA Legal, says that these funds can have skin in the game, “provided adequate provisions are made in this regard”. While such funds generally invest in the capital markets, GIFT-City can consider appropriate schemes to attract these funds to assist lessors here.

While some Indian banks may have extended working capital loans to certain carriers, they have usually shunned aviation financing. The hesitation probably stems from their earlier unsavoury experiences with carriers such as Kingfisher Airlines and Jet Airways. But there might be a way out in terms of financing for players who are looking to set up operations here.

“The most viable option for GIFT-City lessors will be to raise funds from the overseas market. Foreign currency loans are available in the international market at very attractive rates compared to what Indian banks would normally charge,” says KLA Legal’s Kumar, adding that overseas lenders usually charge interest of 2.5 per cent, depending on factors such as the balance sheet of the borrower and the securities offered.

However, overseas funding arrangements are often riddled with riders. “Funding from overseas means additional costs, making it less attractive to do business from GIFT-City. A push towards cost-effective financing and clarity on aircraft repossession will make it attractive for lessors,” says DSK’s Pardasani. But Kumar disagrees. Indian banks, he says, charge around 10-12

per cent interest, which is too expensive. To overcome that challenge, several options such as guarantees from the Indian Exim Bank are being explored to bring the Indian lenders to the table, sources say.

From a demand perspective, the country is projected to need more than 2,200 new aircraft over the next few decades on the back of expanding demand for air travel, says a Boeing forecast for South Asia. This includes 2,000 single-aisle, and 240 wide-body aircraft. In such a backdrop, a thriving domestic leasing industry can only help. And, it is to that end that GIFT-City offers many tax incentives. This includes a 100 per cent exemption on corporate tax for 10 years, tax depreciation allowance on the aircraft at 40 per cent written-down value, zero withholding tax on the lease rental paid to lessors, GST on lease payments by Indian airlines at 5 per cent, zero stamp duty, and no capital tax provided the lessor has commenced operations on or before March 31, 2024.

Yet challenges persist. “The challenge here is that related departments such as customs and GST haven’t been sensitised to the new framework. If we are making a dollar-denominated payment from IFSC, we still get calls!” says Arun Lohiya, COO of CAD Ventures, a home-grown aircraft sale and purchase firm that recently financed six small aircraft for an Indian airline.

The ministries of finance and civil aviation may, therefore, need to review the financial aspect of aircraft leasing, and work out a robust financing ecosystem. With that, GIFT-City could become a game changer, and provide a viable option for offshore lessors, Kumar says, adding that the time has come for India to have a home-grown aircraft leasing ecosystem that can serve the country and its neighbours. The carriers will definitely be hoping for the idea to take off. **BT**

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